

SEPARATE OPINION BY Mr. HUDSON.

While the result which I would reach in this case does not differ greatly from that reached by the Court, the reasoning which I should adopt for reaching it differs on some important points from that which the Court has adopted.

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In my view, the principal object of the Belgian submissions in their final form was to obtain from the Court a pronouncement as to the juridical nature and effect of the arbitral awards of January 3rd and July 25th, 1936. This is indicated both by the text of the Belgian submissions A and B, and by the fact that this text embodies modifications which clearly changed the object sought to be accomplished by the earlier formulations contained in the written Reply of the Belgian Government. It is confirmed, also, by the declaration made on behalf of the Belgian Government at the close of the oral proceedings, in which its final submissions were described as *tendant à voir proclamer le caractère définitif et obligatoire des sentences, sans aucune réserve, avec les corollaires que cette décision comporte*. In other words, the Belgian Government does not confine itself to asking the Court to declare that certain matters dealt with in the arbitral awards are now *res judicata* and recognized to be such by the Greek Government; it goes further and seeks a judgment establishing with the Court's authority the obligatory character of the awards.

It is true that the two arbitral awards given at Paris in 1936 were *souveraines et sans appel*. The agreement of the Greek Government and the *Société commerciale de Belgique* to this effect was expressed both in the contract of August 27th, 1925, and in the *compromis* of August 30th, 1934. Yet this agreement did not preclude the Belgian Government, which has espoused the claim of the *Société commerciale de Belgique*, from asking for an examination and confirmation of the awards by this Court. That is what, it seems to me, the Belgian Government has done.

The Court's jurisdiction to deal with these Belgian submissions follows from the consent of the Greek Government. For the Greek Government has not only refrained from objecting to the jurisdiction of the Court; it has also asked for the rejection of the Belgian submissions on the merits. See the *Upper Silesia Minorities Case*, Series A, No. 15, pages 24-25.

Even on this interpretation of their principal object, however, the Belgian submissions ought to be dismissed. The arbitration which led to the awards of January 3rd and July 25th, 1936, was between the Greek Government and the *Société commerciale de Belgique*; it was held in pursuance of a provision in the contract of August 27th, 1925, concluded between the Greek Government and the *Société commerciale de Belgique*. Hence, it is quite clear that the juridical character of the two awards is not derived from the law which governs the relations of States. As was said in the *Serbian Loans Case*, Series A, Nos. 20/21, page 41, "any contract which is not a contract between States in their capacity as subjects of international law is based on the municipal law of some country". The contract of 1925 and the arbitral awards of 1936 are governed not by international law but by national law, and the national law applicable to them is that of Greece. See the *Serbian Loans Case*, Series A, Nos. 20/21, pages 41-44; the *Brazilian Loans Case*, *id.*, pages 121-122. This being true, it would seem that if the Court undertook to pronounce upon the legal character and effect of the two arbitral awards, it would have to apply Greek law.

This phase of the case has not been presented to the Court by the Parties. No indications have been furnished to the Court as to the relevant provisions of the applicable Greek law, either with respect to the arbitral clause in the contract or with respect to the awards handed down in execution of that arbitral clause. Nor has the Court been supplied with information which would enable it to determine whether the procedure followed by the arbitral commission at Paris was that prescribed by the law applicable. Under these circumstances, I think the Court is not called upon to undertake a research to *find* the Greek law applicable. Where international law is to be applied, the Court should not hesitate to go beyond the presentation by the parties before it, and it must conduct whatever research may be necessary for *finding* the applicable law. Where municipal law is to be applied, a party which asks for relief should furnish to the Court the materials necessary for its *finding* the applicable law; and where as in this case no such materials are furnished to the Court, it would seem that the Court is not obliged to institute the research necessary for that purpose, that on the contrary it is free to deny the relief sought without instituting such a research.

This precise situation would seem to have been envisaged by the Court in the *Brazilian Loans Case* in 1929, when it said, Series A, Nos. 20/21, page 124:

"Though bound to apply municipal law when circumstances so require, the Court, which is a tribunal of international law, and which, in this capacity, is deemed itself to know what this law is, is not obliged also to know the municipal law of the various countries. All that can be said in this respect is that the Court may possibly be obliged to obtain knowledge regarding the municipal law which has to be applied. And this it must do, either by means of evidence furnished it by the parties or by means of any researches which the Court may think fit to undertake or to cause to be undertaken."

Additional reasons would seem to call for the dismissal of two parts of the Belgian submission B.

By its submission B, 2, the Belgian Government asks the Court to say that the conditions adopted for the settlement of the Greek external debt are and must remain foreign to the execution of the arbitral awards of 1936. Certainly the Court should not attempt to prescribe for the future in this way; such action might hamper the future negotiations which both Parties regard to be necessary.

The Belgian submission B, 3, seems to refer to an attitude alleged to have been taken up by the Greek Government at some time in the past; at any rate, the submission is susceptible of this construction. In my opinion, the premise that the Greek Government had at some time sought to "impose" certain conditions on the Company or on the Belgian Government, has not been established before the Court, and for this reason, as well as for others, the submission should be dismissed.

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On the Greek side, submissions (5) and (6) should be dismissed on the ground that no legal basis exists for the invitation to which submission (5) refers. The Court may have power in some circumstances to invite two States represented before it to engage in negotiations with a view to the settlement of their dispute. In my opinion, it would not be justified in this case in requiring such negotiations to be undertaken by the Belgian and Greek Governments, nor in laying down the basis for such negotiations as desired by the Greek Government.

Submission (4) of the Greek Government gives more difficulty. Though it was doubtless presented partly for the purpose of laying a foundation for submissions (5) and (6), I cannot say that such was its only purpose.

In the first place, the text of submission (4) may be regarded as formulating a reservation to the Greek Government's recognition of the principle of *res judicata* in connection with the arbitral awards of 1936. Indeed, in the Greek submission (3) of May 17th, this formulation was avowedly put as a reservation

to the Greek Government's recognition of the application of that principle; and the same meaning seems to be carried in submission (4) of May 19th by the word *toutefois*. On this interpretation, submission (4) would raise a question as to the legal effect of the budgetary and monetary situation of Greece—a question which was discussed at length by Counsel for the Greek Government in his presentation of the exception of *force majeure*; in my judgment that question would call for an examination of the municipal law applicable. On this interpretation, submission (4), like the Belgian submissions, would have to be dismissed.

Another possible interpretation of submission (4) would be that the Court is simply called upon to determine, as a fact, that on account of the budgetary and monetary situation of Greece, it is materially impossible for the Greek Government to carry out the arbitral awards according to their terms. In the written Rejoinder and in the earlier part of the oral proceedings, it was stated that the Greek Government did not ask the Court to deal with the question of Greece's capacity to pay; that Government was free to change its intention in this regard, however. On this interpretation, submission (4) would have the effect of raising the question of Greece's capacity to pay. I think the submission, thus interpreted, should be dismissed for want of proof of the alleged impossibility. Most of the statistics presented to the Court pertain to the budgetary and monetary situation of Greece at an earlier period, and they relate only indirectly to the situation as it now exists. The Court is not asked to order an enquiry by experts, and the proofs furnished do not seem to me to call for that course to be taken.

Emphasis is placed by the Greek Government's submission (4) upon the precise terms of the arbitral awards. The award of July 25th, 1936, fixed the sum to be paid by the Greek Government to the *Société commerciale de Belgique*; it provided for interest at the rate of 5 % from August 1st, 1936, but it did not otherwise provide for any period of time within which the Greek Government was to make payment of the sum due. In the declaration made on behalf of the Belgian Government on May 19th, it was said that the Belgian Government had never intended to demand a single payment in full of the sum due, the inference being that it does not so intend now. This being the case, it would seem to be unnecessary to enquire into the Greek Government's capacity to make a single payment in full of the sum due; to this extent, submission (4), viewed as a request for a finding of fact, ceased to have any object after the Belgian declaration.

As to submission (3) of the Greek Government, I agree that the Court may take note of the Greek Government's recognition of the principle of *res judicata* as applied to the two arbitral awards of 1936, but I think that in admitting submission (3) the operative part of the judgment should not go further than this.

(Signed) MANLEY O. HUDSON.